# RetailCo: Inclusive Supply Chain

## Strategy Report: Challenges, Evidence & Recommendations

| | |
|---|---|
| CLIENT | RetailCo (Global Retailer) |
| PREPARED BY | BCG Strategy Team |
| DATE | 2024 |
| CLASSIFICATION | Confidential |

### Strategic Objectives

1. Double the percentage of MWBE suppliers within RetailCo's ecosystem
2. Deploy a $25 million investment fund via a Community Development Financial Institution (CDFI)
3. Build a sustainable, inclusive supply chain operating model

SECTION 01

# Executive Summary

RetailCo, a large global retailer, has committed to two strategic goals: doubling the number of Minority- and Women-Owned Business Enterprise (MWBE) suppliers in its ecosystem, and deploying a $25 million investment fund through a Community Development Financial Institution (CDFI). This report synthesizes findings from 9 stakeholder interviews, survey data from procurement executives and MWBE owners, and a structured 10-week project plan to identify core barriers, key opportunities, and a prioritized set of recommendations.

| 2× | $25M | 10 wks | 83% | 94% |
|---|---|---|---|---|
| Target MWBE Supplier Increase | CDFI Investment Fund | Delivery Timeline | MWBE Owners Lack Capital | Experienced Bias / Prejudice |

Research across procurement executives and MWBE owners reveals a consistent picture: structural barriers around financing, network access, and procurement rigidity — compounded by unconscious bias — actively prevent qualified MWBE suppliers from entering and scaling within RetailCo's supply chain. Critically, 58% of procurement executives confirm that once agreements are in place, MWBE suppliers perform at parity or better than non-MWBE suppliers — directly challenging the prevailing risk narrative.

**Key Challenge**
Only 25% of procurement execs actively seek out MWBE suppliers. The majority rely on reactive, network-driven processes that systematically exclude smaller, minority-owned businesses.

**Key Opportunity**
Near-universal agreement on the social value of supplier diversity (83% procurement; 93% MWBE owners) provides a shared foundation for change. Benchmark evidence from RetailerA demonstrates measurable financial and reputational returns.

**Key Recommendation**
A three-pillar strategy — active MWBE outreach, $25M CDFI deployment, and reformed procurement standards — can unlock meaningful diversity gains within the 10-week project window.

SECTION 02

# Problem Statement & Context

RetailCo operates a large-scale retail supply chain serving multiple geographies. While the organization recognizes the business case and social imperative for an inclusive supplier base, it currently lacks the structural conditions, processes, and intentional outreach needed to achieve meaningful MWBE participation. Two concrete goals have been set to address this:

- Double the number of MWBE suppliers within RetailCo's supplier ecosystem
- Deploy a $25 million investment fund to support underserved MWBEs through a selected CDFI partner

## The Structural Gap

RetailCo's procurement function was historically designed to optimize for inventory reliability and minimize risk — both legitimate objectives. However, these standards have had the unintended consequence of systematically excluding smaller businesses, including MWBEs, which often cannot meet large minimum order requirements, lack established credit facilities, or do not have the network connections needed to access procurement decision-makers. This is not a quality problem — it is an access and design problem.

## Scope of Engagement

| Workstream | Objective | Deliverable | Timeline |
|---|---|---|---|
| **MWBE Supplier %** | Double MWBE supplier participation through strategy & outreach | Inclusive supply chain strategy + operating model | 10 weeks |
| **CDFI Investment** | Identify and recommend the optimal CDFI partner for $25M fund deployment | CDFI shortlist + final selection recommendation | 10 weeks |

> *"This isn't going to work just by reaching out to MWBEs and hoping success will come; we are going to need to lean in and change our procurement standards to be fit for purpose."*
>
> **— John Jenkins, *Chief Procurement Officer, RetailCo***

SECTION 03

# Project Plan: 10-Week Roadmap

The engagement is structured across two parallel workstreams delivered over 10 weeks, with a mid-point readout at Week 5 to align the RetailCo leadership team on progress and emerging insights. Each workstream follows a structured phase logic: research and fact-finding in the early weeks, strategy and option development in the middle, and refinement and recommendation in the final weeks.

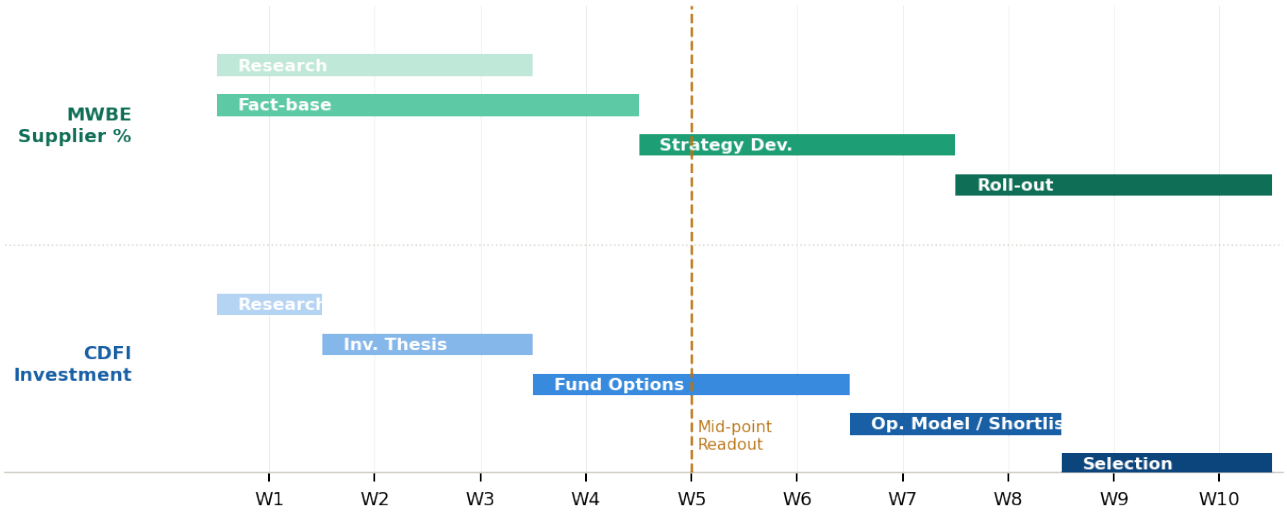



*Figure 1: 10-week project Gantt — MWBE Supplier % (green) and CDFI Investment (blue) workstreams*

## MWBE Supplier % Workstream

| Phase | Weeks | Key Activities | Deliverable |
|---|---|---|---|
| **Research** | 1–3 | Identify stakeholders; conduct interviews with procurement team; collect supplier surveys | Stakeholder map + interview synthesis |
| **Fact-base** | 1–4 | Analyze current MWBE % and gaps; benchmark against competitors and industry leaders | Current-state supplier landscape report |
| **Strategy Dev.** | 5–7 | Define vision and MWBE doubling goal; develop strategic pillars, enablers, KPIs; design operating model | Inclusive supply chain strategy document |
| **Roll-out** | 8–10 | Develop onboarding process; train procurement function; launch supplier diversity tracking | Implementation plan + training materials |

## CDFI Investment Workstream

| Phase | Weeks | Key Activities | Deliverable |
|---|---|---|---|
| **Research** | 1 | Stakeholder interviews; define fund purpose and objectives | Fund objectives brief |
| **Inv. Thesis** | 2–3 | Develop investment criteria; estimate financial and social returns | Investment thesis document |
| **Fund Options** | 4–6 | Long-list CDFI options; define scoring and evaluation criteria | CDFI long-list with scoring model |

| | | | |
|---|---|---|---|
| **Op. Model** | 7–8 | Define roles, governance structure, decision rights and reporting cadence | Operating model design |
| **Shortlist & Select** | 7–10 | Score and shortlist CDFIs; finalize recommendation for top CDFI partner | Final CDFI recommendation |

SECTION 04

# Research Findings: Stakeholder Interviews

Nine stakeholder interviews were conducted across two groups: procurement executives at RetailCo and peer retailers, and MWBE business owners in relevant product categories. The interviews reveal a consistent set of structural barriers but also meaningful points of alignment — particularly around the social value of supplier diversity and the quality of MWBE products.

## Procurement Executives

RetailCo's own procurement leadership acknowledged a largely passive approach to supplier diversity. Proposals reaching senior decision-makers predominantly come from larger, established companies — not because of deliberate exclusion, but because procurement standards were never designed with MWBE access in mind. Financing concerns are cited as the primary reason MWBE pitches advance less frequently.

> *"From what I could see, there wasn't really any difference in the product quality based on who the owner was — it just seemed that we were being approached by MWBEs much less, and those that did come seemed to struggle a little more with financing."*
> **— Albert McFarland, *Director of Procurement, RetailCo***

> *"We found that MWBEs in particular had a tough time meeting our minimum order requirements, and it was almost always because they struggled to get the financing."*
> **— Natalie Hellman, *Procurement Executive, RetailerB***

> *"It was definitely a challenge and a different type of risk to procure from smaller businesses — so we had to develop a new, localized model to support MWBEs."*
> **— Stephanie Hernandez, *Procurement Executive, RetailerA (Benchmark)***

> *"We did business with an MWBE a couple of years back. They promised us the world, but things kind of imploded. It was unfortunate, really."*
> **— Lindsey Smith, *Procurement Executive, RetailerC (Risk-averse)***

## MWBE Business Owners

MWBE owners describe a landscape where product quality and market readiness are rarely the issue. The barriers are structural: limited networking access to large-retailer buyers, financing constraints that prevent meeting minimum order quantities, rigid process requirements that disadvantage owner-operators, and — in some cases — direct experiences of bias and unequal treatment.

> *"I just don't know where to start. Our stuff is awesome, well priced, customers love it, but the network is huge in getting into big box stores, and I just don't have a great network."*
> **— Hayet King, *Owner, Clothing Manufacturer***

> *"We aren't able to commit to the minimum order quantity that many of the big retailers want — we just don't have the working capital. Banks aren't willing to increase our credit line just yet."*
> **— Jarell Howell, *CRO, Soft Drinks Manufacturer***

> *"I can't really fly to the middle of nowhere for a 20-minute meeting with a junior buyer. I'm trying to see if they can meet via video call, but they seem pretty rigid."*
> **— Samaya Housseini, *Owner, Candle & Incense Manufacturer***

> *"I don't say this lightly, but it felt that we had to clear a bar that was a lot higher than others. I personally know other business owners who were given a much easier time."*
>
> **— Andy Bowman, *Owner, Party Goods Manufacturer***

## Interview Sentiment Analysis

Coded interview themes reveal financing and bias as the highest-frequency negative topics, while quality and performance drew consistently positive mentions across both groups.

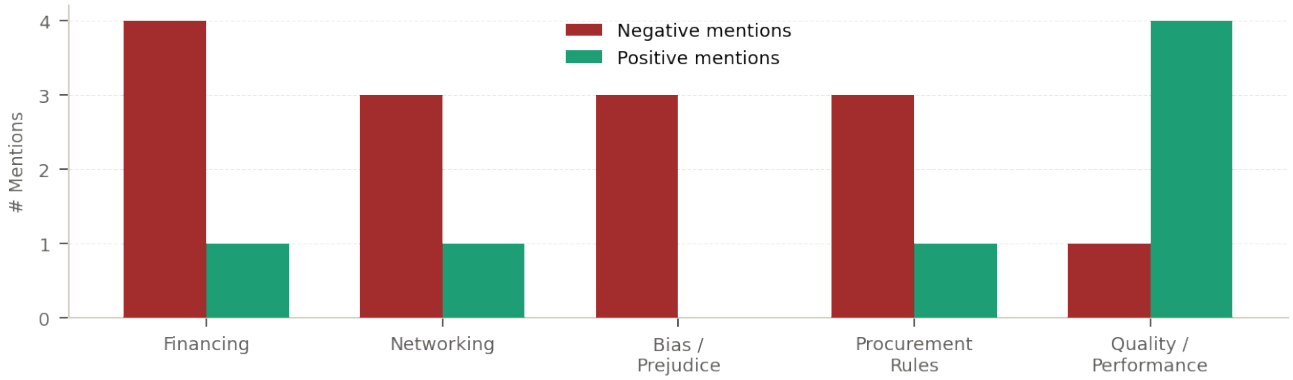



*Figure 2: Interview mentions by theme — negative (red) vs positive (green) coded references across all 9 interviews*

SECTION 05

# Survey Insights: Quantitative Evidence

Survey data from procurement executives and MWBE owners provides quantitative support for the interview findings. Likert-scale responses across 11 statements (procurement) and 10 statements (MWBE) reveal significant gaps in tracking, active outreach, and financing support — alongside strong consensus on the social value of supplier diversity.

## Procurement Executive Survey — Response Distribution

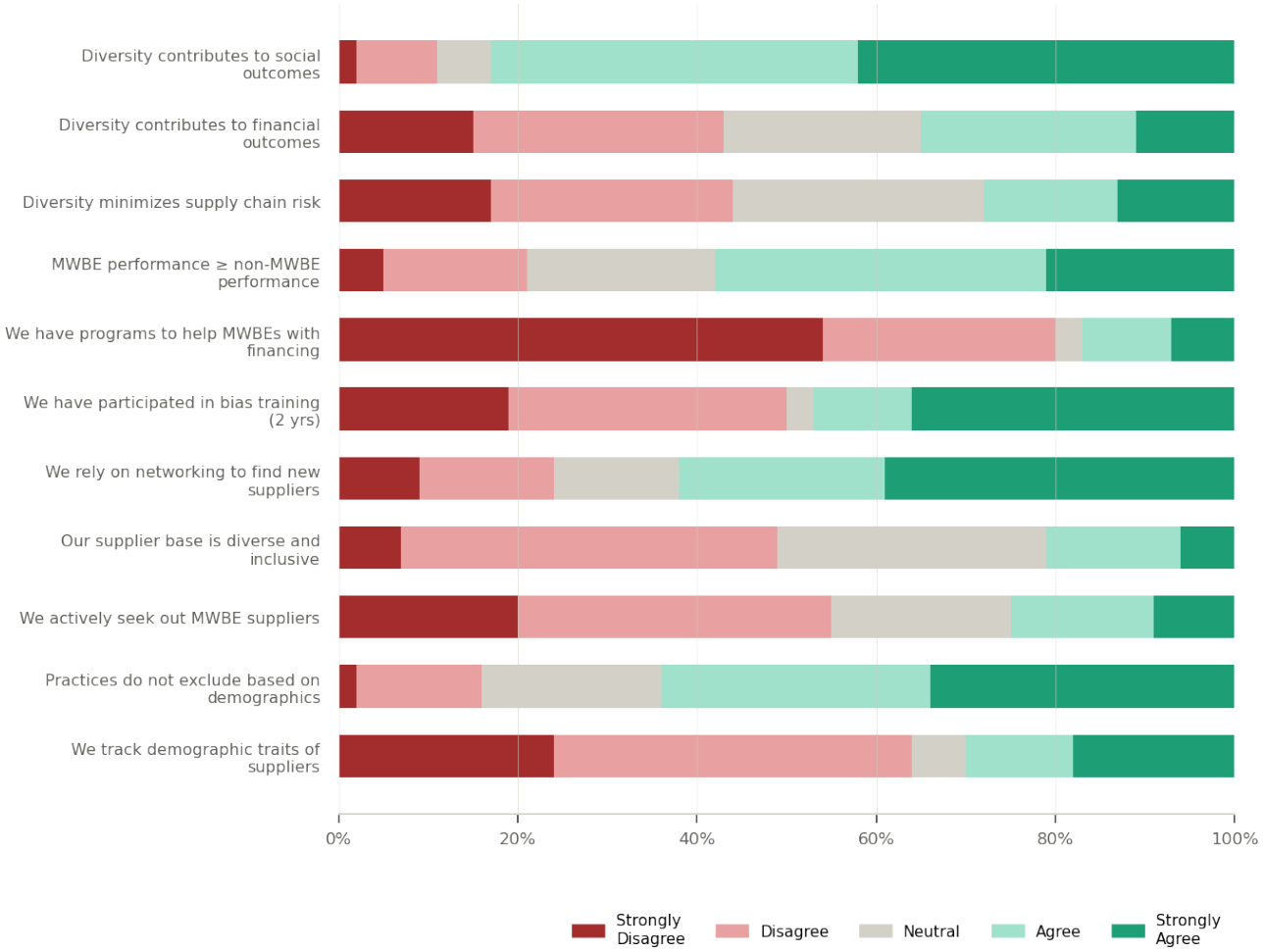



*Figure 3: Procurement executive survey — distribution of Likert responses per statement (n = survey sample)*

## MWBE Owner Survey — Response Distribution

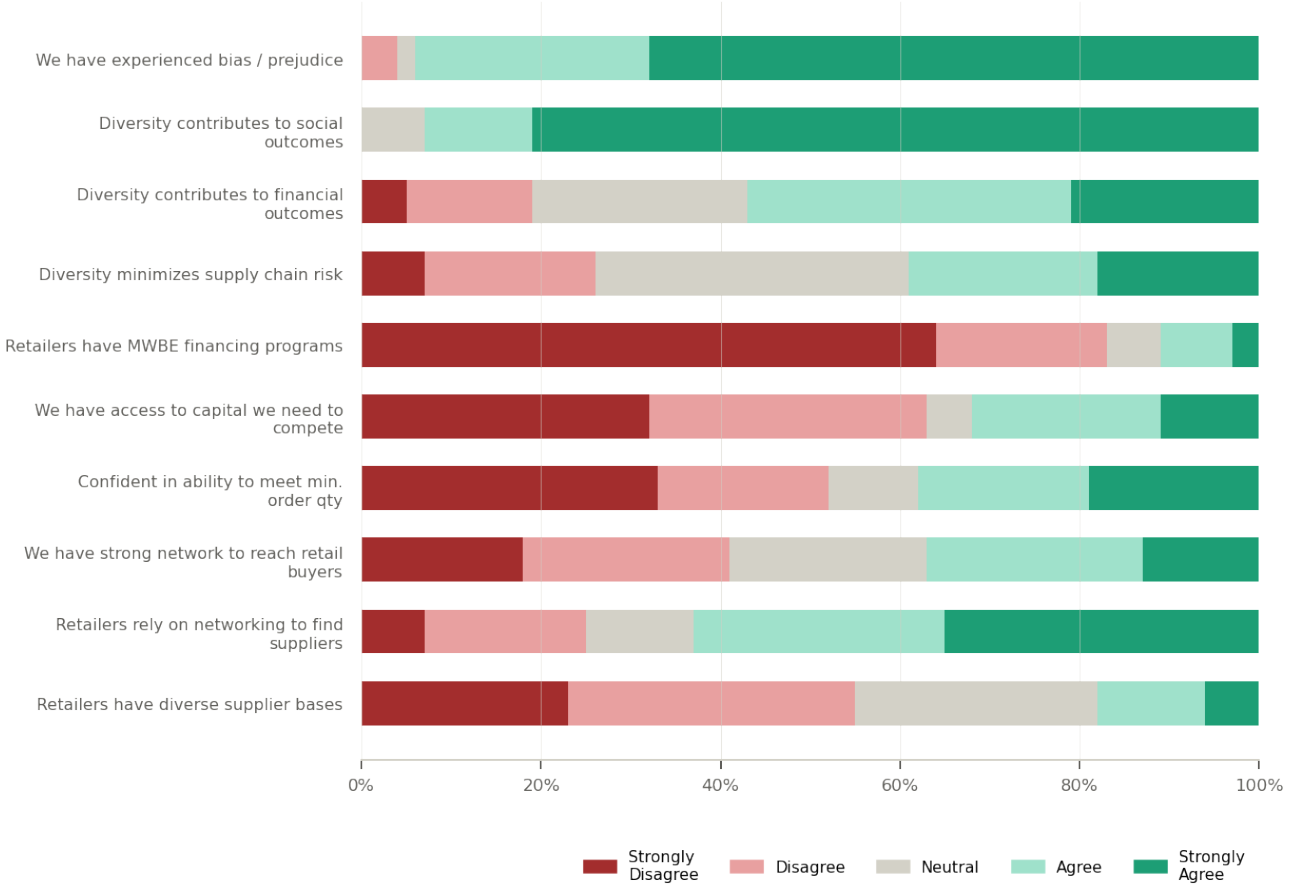



*Figure 4: MWBE owner survey — distribution of Likert responses per statement (n = survey sample)*

## Perception Gap: Shared Topics

On topics surveyed in both groups, important divergences emerge. While both groups agree that networking is central to procurement, MWBE owners are far more bullish on the financial returns from diversity — and are near-unanimous that diversity drives positive social outcomes.

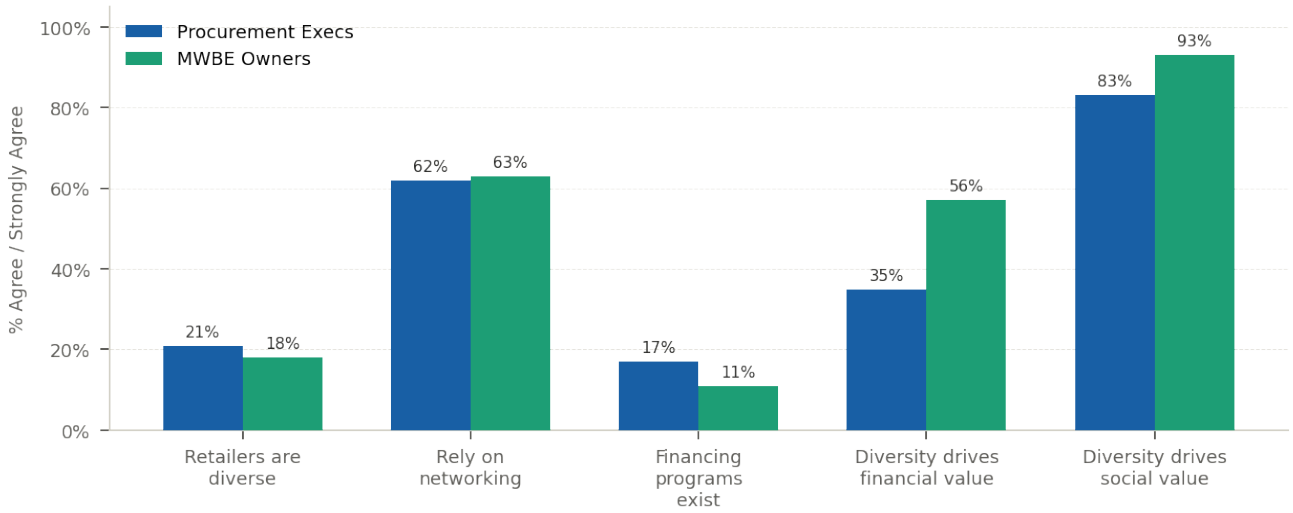
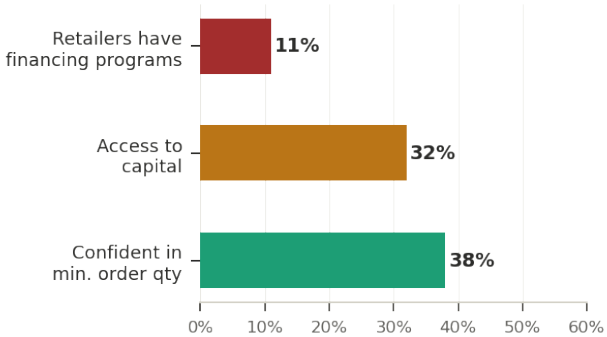



*Figure 5: Perception gap on shared survey topics — procurement execs (blue) vs MWBE owners (green), % agree / strongly agree*

## Financing Confidence Gap (MWBE Owners)

The data quantifies the capital access crisis facing MWBE owners. Only 38% feel confident they can meet minimum order quantities, only 32% have access to the capital needed to compete, and a striking 83% believe retailers have no meaningful financing programs in place for MWBEs.



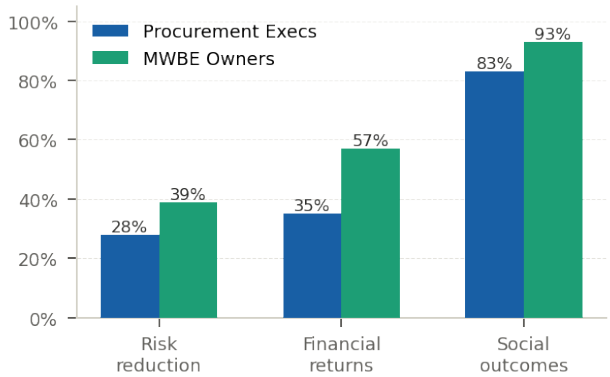




*Figure 6 (left): MWBE owner financing confidence (% agree/strongly agree). Figure 7 (right): Perceived impact of diversity on risk, financial, and social outcomes by group.*

SECTION 06

# Core Barriers to MWBE Inclusion

Synthesizing interview and survey evidence, four primary barriers consistently emerge as drivers of MWBE underrepresentation in RetailCo's supply chain. These are not independent — they interact and reinforce each other, creating a compounding effect that makes MWBE participation structurally difficult.

## 1 Network & Access Barriers

The most frequently cited barrier across all interviews. MWBE owners consistently lack the professional connections needed to access large-retailer procurement decision-makers. RetailCo's procurement team relies heavily on inbound proposals and existing networks, which naturally favor established, larger suppliers. No active MWBE sourcing program currently exists.

*Evidence: 5 of 9 interviews; networking reliance confirmed by 62% of procurement execs (survey)*

## 2 Financing & Capital Constraints

A near-universal finding: MWBE owners struggle to secure the working capital needed to meet minimum order requirements. Banks are reluctant to extend credit without established retail track records, creating a Catch-22 — MWBEs cannot grow without the contracts, but cannot get the contracts without the capital. Only 11% of MWBE owners believe their target retailers have financing programs in place.

*Evidence: Interviews #7, #8; 83% of MWBE owners lack access to needed capital (survey)*

## 3 Rigid Procurement Standards

RetailCo's procurement guidelines were designed to optimize inventory and minimize risk at scale — a legitimate objective. However, these same standards (minimum order quantities, vendor qualification processes, meeting requirements) create disproportionate barriers for smaller MWBE suppliers. RetailerA's success with a localized procurement model demonstrates that adapted standards can work.

*Evidence: Interviews #1, #2, #4; RetailerA benchmark confirmed viability of localized model*

## 4 Unconscious Bias & Inconsistent Standards

Interview evidence points to inconsistent treatment of MWBE suppliers during procurement processes — including lower advancement rates from pitch to meeting, and in at least one case (confirmed by RetailerB), a buyer who systematically failed to advance MWBE applicants. 94% of MWBE owners surveyed report experiencing bias or prejudice in dealings with retailers or financial institutions.

*Evidence: Interviews #4, #9; 94% of MWBE owners report bias (survey); RetailerB addressed via tracking + training*

SECTION 07

# Strategic Recommendations

The following recommendations are structured around three strategic pillars — Network & Outreach, Financing & Capital, and Procurement Reform — that collectively address the four core barriers identified. Each recommendation is supported by evidence from the research and, where applicable, benchmark practice from peer retailers.

| Pillar 1<br>Network & Outreach | Pillar 2<br>Financing & Capital | Pillar 3<br>Procurement Reform |
|---|---|---|

**R1** **Launch an Active MWBE Outreach & Supplier Portal**

Shift from a passive, inbound-only procurement model to one that proactively identifies and recruits MWBE suppliers. Establish a dedicated MWBE supplier portal, host outreach events, and partner with MWBE industry associations to build a pipeline of qualified candidates.

Pillar: Network & Access | Timeline: Week 8

**High** Impact

**R2** **Deploy the $25M Fund Through a Selected CDFI Partner**

Following the structured CDFI evaluation process (Weeks 4–10), deploy the $25M investment fund through the recommended CDFI to provide working capital, credit support, and scale financing to qualifying MWBE suppliers. Structure the fund to prioritize suppliers that have demonstrated retailer interest (e.g., letters of intent).

Pillar: Financing & Capital | Timeline: Week 10

**High** Impact

**R3** **Develop a MWBE-Specific Financing Support Model**

Adopt the RetailerA model: create a dedicated financing pathway for MWBEs that may include reduced minimum order requirements for early-stage suppliers, payment-in-advance options, and coordination with CDFIs to bridge the credit gap. Pilot the model with a cohort of MWBE suppliers in Weeks 8–10.

Pillar: Financing & Capital | Timeline: Week 9

**High** Impact

**R4** **Reform Procurement Standards with a Localized MWBE Model**

Develop a tiered procurement pathway for MWBE suppliers that adjusts minimum order quantities, qualification criteria, and onboarding complexity based on supplier scale. Apply a 'localized model' approach as demonstrated successfully by RetailerA, enabling MWBEs to enter at a manageable scale and grow into larger agreements.

Pillar: Procurement Reform | Timeline: Week 9

**High** Impact

**R5** **Implement Mandatory Unconscious Bias Training**

Roll out mandatory unconscious bias training for all procurement staff, modeled on RetailerB's intervention. Pair with structured demographic tracking of all supplier pitches and advancement rates to surface patterns of systemic exclusion and hold teams accountable.

Pillar: Procurement Reform | Timeline: Week 6

**Medium** Impact

**R6** **Introduce Supplier Diversity Tracking & KPI Framework**

Currently, only 30% of procurement executives report tracking supplier demographic data. Implement a structured diversity tracking system covering new pitches, advancement rates, and contracted supplier demographics — with executive-level KPIs and quarterly reporting.

Pillar: Procurement Reform | Timeline: Week 4

**Medium** Impact

**R7** **Allow Virtual Pitch Meetings & Flexible Engagement**

Remove structural barriers that disproportionately burden owner-operators. Allow virtual pitch meetings as a standard option, offer flexible scheduling, and establish a junior buyer fast-track for promising MWBE suppliers who lack connections to senior buyers.

Pillar: Network & Access | Timeline: Week 7

**Low** Impact

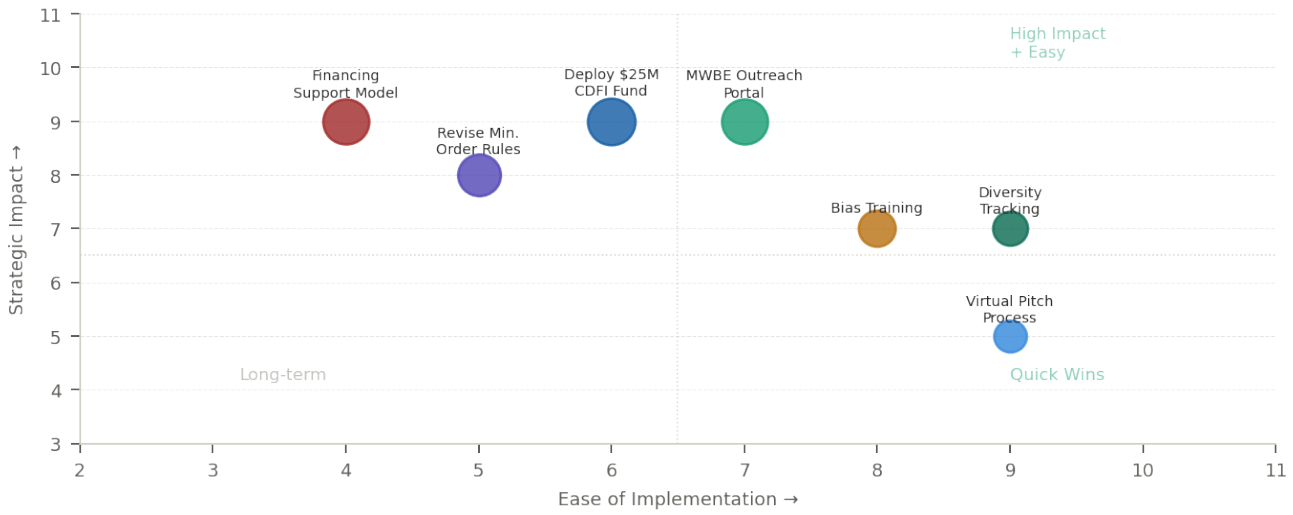



*Figure 8: Recommendation prioritization — strategic impact vs ease of implementation (bubble size = relative effort)*

SECTION 08

# Benchmark Evidence: Peer Retailer Learnings

Three peer retailers were interviewed to understand the landscape of inclusive supply chain practice. Their experiences provide both positive models to emulate and cautionary lessons to avoid.

| Retailer | Approach | Key Outcome | Lesson for RetailCo |
|---|---|---|---|
| **RetailerA (Positive)** | Proactively sought out MWBEs; developed localized procurement model with dedicated financing support | Multiple industry awards; measurable positive financial returns; recognized as sector leader | Adopt localized model; active outreach; pair with financing solution |
| **RetailerB (In Progress)** | Began tracking supplier demographics; discovered and addressed systemic buyer bias; invested in bias training | Identified and corrected bias; currently designing financing solution for MWBEs | Implement demographic tracking immediately; mandatory bias training for all buyers |
| **RetailerC (Cautionary)** | Single negative MWBE experience led to risk aversion; no structured approach; anecdotal judgment | Supplier diversity stalled; missing competitive and ESG opportunity; reputational risk | Avoid single-experience generalization; build evidence base; structural approach over anecdote |

**Key insight from benchmarking:** RetailerA's success demonstrates that inclusive supply chain programs are not only possible but financially rewarding. The common thread across successful interventions is intentionality — moving from reactive to proactive, from rigid to adaptive, and from anecdotal to data-driven.

SECTION 09

# Conclusion

The evidence is unambiguous: RetailCo's current procurement model, while effective for its original purpose, systematically excludes MWBE suppliers — not through deliberate intent, but through structural design. The four core barriers of network access, financing constraints, rigid standards, and unconscious bias interact to create a system where qualified, capable MWBE suppliers cannot participate at scale.

The good news is equally clear. MWBE suppliers perform at parity or better once agreements are in place (confirmed by 58% of procurement executives). Near-universal consensus exists on the social value of supplier diversity. And the $25M fund provides a concrete, immediate mechanism to address the financing gap that is the single biggest operational barrier for MWBE owners.

The 10-week project plan delivers against both strategic goals within a realistic timeframe: a structured, evidence-based inclusive supply chain strategy for the MWBE Supplier % workstream, and a prioritized CDFI selection recommendation with operating model for the Investment workstream. Together, these outcomes equip RetailCo to make measurable progress toward doubling its MWBE supplier base and deploying capital where it will have the greatest impact.

| Strategic Goal | Core Enablers | Key Risks | Success Metric |
|---|---|---|---|
| **Double MWBE supplier %** | Active outreach program; adapted procurement standards; supplier portal; bias training | Internal resistance to standard changes; risk aversion among procurement staff | 2x increase in MWBE suppliers within 12 months of launch |
| **Deploy $25M CDFI fund** | Structured CDFI evaluation; investment thesis; operating model with clear governance | CDFI capacity constraints; governance complexity; measurement of social returns | $25M deployed; measurable MWBE financing access improvement within 18 months |

*All names, quotes, and survey data used in this report are fictional and have been created for task purposes only. This report was prepared as part of a structured case study engagement.*